Sector Underwriting Note: Retail Trade

ASHVA CAPITAL CREDIT POLICY MANUAL ## SECTION 8: SECTOR UNDERWRITING SUPPLEMENT – RETAIL TRADE SME

8.1 Purpose and Scope This section establishes the mandatory underwriting parameters, risk tolerances, and evaluation criteria for credit facilities extended to Small and Medium Enterprise (SME) borrowers operating within the Retail Trade sector. Underwriters must adhere strictly to these provisions. Any deviation requires formal escalation to the Credit Committee pursuant to Section 2.4.

8.2 Working Capital Cycle and Cash Conversion 1. The typical working capital cycle for Retail Trade SME borrowers is established at 40 days, calculated from the inventory holding period plus trade receivable days, minus trade payable days. 2. Underwriters must adjust cash flow projections to reflect the standard 40 days operating cycle. Any applicant exhibiting a cash conversion cycle exceeding 65 days must be referred for secondary review by Senior Credit Officer Marcus Vance.

8.3 Debt Service Coverage Ratio (DSCR) Floor 1. The baseline Debt Service Coverage Ratio (DSCR) floor for the Retail Trade sector is 1.25x, aligning with the Ashva Capital enterprise standard. 2. No discretionary downward adjustment to the 1.25x DSCR threshold is permitted for retail trade applicants, regardless of collateral coverage.

8.4 Seasonality Adjustments 1. Retail Trade borrowers experience predictable seasonal concentration, with the designated seasonal peak occurring annually from October to December. 2. For applicants generating greater than 50 percent of their annual gross revenue during the October to December peak period, underwriters must apply a 15 percent downward haircut to off-peak historical monthly cash flows when calculating annualized debt service capacity. 3. Working capital facility disbursements must be structured to ensure principal repayment schedules account for inventory build-up occurring strictly between August 1 and September 30 preceding the seasonal peak.

8.5 Primary Causes of Sector Distress Underwriters must specifically evaluate and document mitigants for the two most common causes of distress in the Retail Trade sector: 1. Unmanaged Inventory Obsolescence: Sudden depreciation in merchandise value resulting from shifting consumer preferences or failure to clear slow-moving stock within 90 days of receipt. 2. Compressing Operating Margins: Inability to pass wholesale cost increases to end-consumers due to localized price competition, leading to failure to maintain the mandatory 1.25x DSCR threshold.

8.6 Collateral and Security Requirements 1. Acceptable collateral types restricted to this sector comprise: * First-ranking General Security Agreement (GSA) over all present and after-acquired personal property. * Registered specific charge over retail inventory, valued at a maximum advance rate of 50 percent of net orderly liquidation value (NOLV). * Commercial real estate mortgages, where applicable, subject to an LTV cap of 65 percent. 2. Personal guarantees must be secured from all beneficial owners holding an equity stake greater than 20 percent.

8.7 Portfolio Exposure Limits 1. Total credit exposure to the Retail Trade sector shall not exceed 12 percent of the total Ashva Capital loan book. 2. As of the current reporting cycle, sector exposure stands at 8.9 percent, leaving an available capacity of 3.1 percent of the total loan book for new originations. 3. The maximum allowable credit facility tenor for any Retail Trade SME borrower is 36 months. Facilities requested beyond 36 months must be declined outright by the automated underwriting engine.